

**INTERIM STATEMENT TO SHAREHOLDERS GROUP UN-AUDITED RESULTS
FOR THE SIX (6) MONTH PERIOD ENDED 30TH JUNE 2021**

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30TH JUNE 2021**

	Unaudited Jun-21 KShs'000	Audited Jun-20 KShs'000
Revenue	2,535,447	1,999,164
Cost of sales	(1,824,275)	(1,422,762)
Gross profit	711,172	576,402
Net other income	25,328	48,806
Operating expenses	(684,710)	(675,045)
Loss/(profit) from operation	51,790	(49,837)
Depreciation & Impairment	(240,454)	(368,824)
Forex losses	17,119	(418,148)
Interest expenses	(553,901)	(522,703)
Loss before income tax	(725,446)	(1,359,512)
Income tax charge	(38,807)	(33,963)
Loss for the year	(764,253)	(1,393,475)
Loss after tax is attributable to:		
Equity holders of the company	(610,638)	(1,173,602)
Non-controlling interest	(153,616)	(219,873)
Loss for the year	(764,254)	(1,393,475)
Total comprehensive income for the year attributable to:		
Equity holders of the company	(2,054,260)	(3,897,282)
Non-controlling interest	(337,597)	67,134
Profit/(loss) for the year	(2,391,857)	(3,830,148)
Basic and diluted earnings per share - KShs	(1.63)	(3.13)

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX (6) MONTHS PERIOD ENDED 30 JUNE 2021

	Unaudited Jun-21 KShs'000	Audited Dec-20 KShs'000
Cash used in operation	(164,471)	(966,134)
Income taxes paid	(3,569)	(3,605)
Lease interest paid	(16,965)	-
Net cashflows used in operating activities	(185,005)	(969,739)
Net cash flows(used in) generated from investing activities	(11,740)	73,196
Net cashflow from financing activities	248,040	985,772
Net increase in cash and cash equivalent	51,295	89,229
Net foreign exchange difference	(211)	1,061
Cash and cash equivalent at 1 January	315,779	225,489
Cash and cash equivalent at	366,863	315,779

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30TH JUNE 2020

	Unaudited Jun-21 KShs'000	Audited Dec-20 KShs'000
ASSETS		
Non current assets	8,246,226	8,460,297
Current assets	4,171,499	5,228,699
Total Assets	12,417,725	13,688,996
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	187,601	187,601
Share premium	1,873,089	1,873,089
Revenue reserves	(11,733,724)	(11,692,781)
Non-controlling Interest	593,518	675,910
Non-current liabilities	6,078,333	6,887,188
Current liabilities	15,418,908	15,757,989
Total Equity and Liabilities	12,417,725	13,688,996

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR SIX (6) MONTHS PERIOD ENDED 30 JUNE 2021

	Unaudited Jun-21 KShs'000	Audited Dec-20 KShs'000
Share capital	187,601	187,601
Share premium	1,873,089	1,873,089
Reserves	(11,733,724)	(11,692,781)
Total Equity attributed to equity holder company	(9,673,034)	(9,632,091)
Non-controlling Interest	593,518	675,910
Total Equity	(9,079,516)	(8,956,181)

TransCentury PLC ("TC" or "Group") is pleased to announce the un-audited financial results for the six (6) month period ended 30th June 2021 ("H1-2021 results").

Key Highlights

Despite a challenging environment in H1-2021 with the effect of the COVID-19 pandemic lingering, the Group recorded a 27% growth in revenues in the 1st half of 2021 driven by the Group strategy of innovation and diversification to meet market demands resulting in impressive performance in some of our subsidiaries namely AEA which recorded 88% growth and Tanelec Tanzania which continued its upward trend recording a 22% growth. In the same period one of our subsidiaries that had faced significant funding challenges in 2020, East African Cables Tanzania, had a boost by accessing funding from recovered receivables and returning to full operations and recording a 93% increase in revenues.

In the period under review, the Group recorded a positive EBITDA and improved the bottom line, testament to the fact that the turnaround strategies we've outlined are bearing fruit and the Group is trending positively towards returning to profitability.

Innovation and diversification have played a key role in driving sustainable revenues for the Group and will remain key pillars moving forward. In this period, revenues in our transformer manufacturing business in Arusha, Tanzania were driven by the growth in product mix while East African Cables Kenya unveiled new traded products increasing its product offering to the construction industry.

Dividends

The Board does not recommend payment of an Interim dividend.

Outlook

Guided by the Ahidi 2017-2022 strategy plan and accelerated by the 4-step focus areas, we have made significant progress in our journey back to profitability and have kept to the promise made to our shareholders to stabilise the business and turn around. Post reporting period, TC unveiled a 4-year strategy plan, Ahidi +32% whose focus will be TC refocusing on its core - Investments to drive sustainable, organic growth, innovation and diversification guided by internal and external data and emerging trends, investing and developing strong brands that will deliver superior value to shareholders and entrenching a culture of execution and accountability.

We are at the tail end of preparing for the rights issue transaction planned for 2022 and which we received approval from the regulator post reporting period. Funds raised will go towards execution of the new strategy through reduction of debt and unlocking working capital.

TC is well anchored to deliver superior and sustainable value to all stakeholders and the Board and Management remains committed to achieving this.

By Order of the Board
Virginia Ndunge
Company Secretary
5th September 2022